Railways Not Able to Cover its Operating Costs

The policy decision after Independence to retain railways as a 100 per cent government monopoly and nationalize all road transporters and national and state highways has proved extremely costly across parameters—cost of service, quality of service and access to service.

It has been tellingly observed that both railways and roadways existed for employees, not passengers/consumers. At one point in time, the Railways employed over 16 lakh semi-literate and poorly trained staff with only 3000 officers to manage and supervise the operations of a network of over 65,000 km. State roadway undertakings had a national ratio of six staff to a single bus, whereas private buses were operated with one staff per bus.

The roadways in almost all the states remained confined to national and state highways and did not provide service to a large swathe of rural areas. State roadway corporations could provide city bus services only in some states. It was not unusual for people living in rural areas to remain unserved or hugely underserved. Later, illegal services operated by unauthorized buses and small vehicles came up to fill the void in many states, at least to connect nearly rural and suburban areas with cities.

The Railways was mostly unable to recover its operating cost from operating revenues as it kept passenger fares subsidized. This policy had another unintended consequence. Freight rates were kept relatively very high, making the Railways lose freight traffic to freight road transport—the only component of the transport system that was not nationalized. The Railways lost both passengers and freight. The Railways' share of passenger traffic and goods traffic exceeded 70 per cent and 90 per cent respectively after Independence; it is down to 7 per cent and under 30 per cent now. The share of STUs in passenger road transport is also only about 7 per cent. Both the Railways and state roadways have become marginal players despite the policy of making them monopoly operators.